THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH-II

CO. APPL.(CAA) 34/ND/2020

IN THE MATTER OF:

1. M/s Priority Vendor Technologies Private Limited
   Having Registered Office at:
   15/1 Asaf Ali Road, New- Delhi-110002

Applicant No.1/Transferor Company

WITH

2. M/s C2FO India Technologies Private Limited
   Having Registered Office at:
   2nd Floor, Naman Centre, G-Block
   Bandra-Kurla Complex, Bandra(East)
   Mumbai 400051

Non-Applicant No.2/ Transferee Company

CORAM:
MS. INA MALHOTRA, MEMBER (JUDICIAL)
MR.L.N GUPTA, MEMBER (TECHNICAL)

PRESENT- Mr. Karanveer Jindal, Advocate

Order Delivered on- 19.02.2020

ORDER
PER SMT. INA MALHOTRA, MEMBER (J)

This petition is filed by way of a 1st Motion under Sections 230-232 of the Companies Act, 2013 (hereinafter referred to as 'the Act') by the Applicant Company No. 1, (Transferor Company No.1) in connection with the Scheme of Merger by Absorption (hereinafter referred to as 'the

Scheme') for merging its business with M/ s C2FO India Technologies Private Limited (Applicant Company No.2/Transferee Company).

2. As per averments, the registered office of the Transferor Company is situated in the National Capital Territory of Delhi, falling within the territorial jurisdiction of this Court.

The Registered office of the Non-Applicant/ Transferee Company fall within the territorial jurisdiction of the Mumbai Bench and hence would seek approval for sanction of the Scheme from the concerned Bench.

3. The Applicant No. 1 / Transferor No. 1 Company was incorporated under the Act on 09.01.2009 under the name and style of "Ivy League Education Private Limited". Subsequently its name has been changed a few times and is presently operating its business under the name of "Priority Vendor Technologies Private Limited". Certificate of incorporation dated 12.05.2015 having CIN U72900DL2009PTC186510 has been annexed alongwith. Its authorized share capital is Rs. 18,09,000/- while its issued, subscribed and paid up capital is 1,51,000 divided into 15,100 equity shares of Rs. 10/-each.

The main object of the Applicant company No.1/Transferor Company is to carry on the business of providing a vendor-focused early payment platform application and facilitate buyer-centric working capital solutions.

4. The Non-Applicant No. 2/ Transferee No. 2 Company was incorporated under the Act on 18.07.2019 under the name and style of "C2FO India Technologies Private Limited". Its authorized share capital is Rs. 88,00,00,000/- while its issued, subscribed and paid up capital is 30,87,14,010 divided into 3,08,71,401 equity shares of Rs. 10/-each. The Transferee Company has also issued 50,62,915 compulsory convertible debentures of the face value Rs.100/- each amounting to Rs.50,62,91,500/-.

The Transferee Company holds the entire paid-up share capital of the Transferor Company through itself and its nominee.

5. Copies of the Memoranda of Association and Articles of Association along with the latest audited Balance Sheet as on 31.03.2019 and report of the Statutory Auditor of the Applicant Company No.1 have been filed. Provisional balance Sheets upto 27th September, 2019 also been filed.

It has also been certified by the Statutory Auditor of the Applicant No.1 that the Accounting Treatment is in compliance with the Accounting Standards prescribed u/s 133 of the Companies Act 2013.

6. It has been stated on behalf of the Applicant Company that the Scheme of Amalgamation is necessitated and justified on grounds that :-

a. The Transferee Company holds the entire paid-up share capital of the Transferor Company through itself and its nominee. As the result of amalgamation, the shares registered in the name of the Transferee Company will stand

cancelled without any further act or deed and no consideration shall be payable by the Transferee Company.

b. Rationalization of group and business structure to ensure optimized legal entity structure;
c. Consolidation of resources of Company resulting in improved organizational capability;
d. Cost reduction as a result of elimination of duplication of administrative expenses and optimum utilization if available resources;
e. Operational synergies and flexibility resulting into higher profitability and a stronger and wider capital and financial base for future growth.

The Appointed date of the Scheme is 27th September, 2019.

7. The Board of Directors of the Transferor Company No.1 vide its meetings held on 21.01.2020 has unanimously approved the proposed Scheme of Merger by Absorption. Copy of the board resolution passed have been filed.

8. Vide the present application, a prayer is made for dispensation of convening meetings in view of the following facts:-

A. In respect of the Transferor Company No.1 / Applicant Company No.1:-

- It has 2 Equity Shareholders who have accorded their consent vide affidavits placed on record.
- It has no Secured or Unsecured creditors as certified by the Statutory Auditor.

In view of the consent accorded by its 2 Shareholders vide affidavits, the requirement of convening the meeting of the shareholders is dispensed with. Further, as there is no secured or unsecured creditor, the question of convening their meeting does not arise.

9. The proposed Scheme of Merger by Absorption is annexed along with the present application.

10. It is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the Scheme if sanctioned by this Tribunal, will take effect from the date of on which certified copy of the order of sanctioning of proposed Scheme, passed by this Tribunal is filed with the Registrar of Companies.

11. It has also been submitted that there are no proceedings pending inquiry or investigation in respect of the applicant company.

12. While dispensing with the meetings, this Bench also directs that notices be sent to the Central Government through the

office of the Regional Director (Northern Region), the Income Tax Authorities, Registrar of Companies, NCT of Delhi & Haryana, Official Liquidator and other sectoral regulators or authorities as required under sub- section (5) of section 230 of the Companies Act, 2013 who may have significant bearing on the operation of the applicant companies along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangement, and Amalgamation) Rules, 2016. Copies of the notices along with the proof of dispatch be filed before this Bench along with the affidavit of compliance.

13. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant.

As sequel to the above, the present application stands allowed by dispensing with the meetings of shareholders of the Transferor Company.

-Sd-

(L.N Gupta)
Member (T)

-Sd-

(Ina Malhotra)
Member (J)